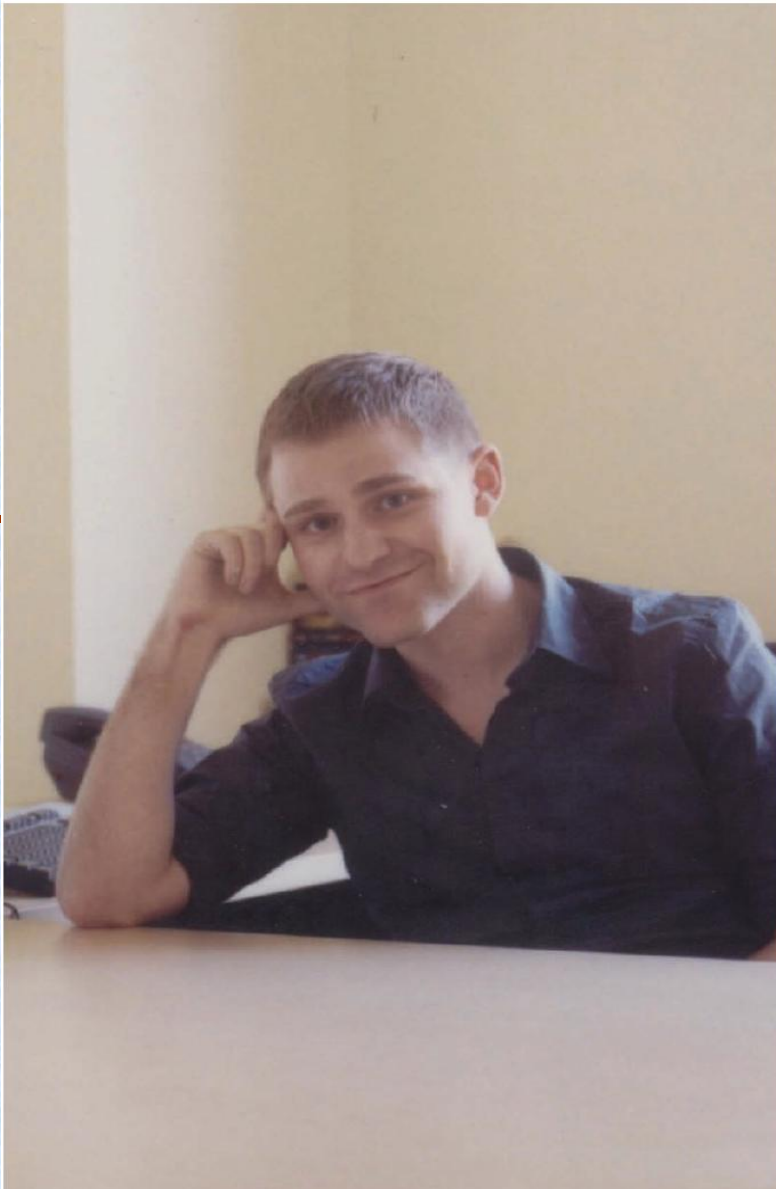




Chapter 9

Building a New-Venture Team

Bruce R. Barringer

R. Duane Ireland

Chapter Objectives

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1. Identify the primary elements of a new venture team.
2. Explain the term liabilities of newness.
3. Discuss the difference between heterogeneous and homogenous founding teams.
4. Identify the personal attributes that strengthen a founder's chances of successfully launching an entrepreneurial venture.
5. Describe how to construct a “skills profile,” and explain how it helps a start-up identify gaps in its new-venture team.

Chapter Objectives

2 of 2

6. Describe a board of directors and explain the difference between inside directors and outside directors.
7. Identify the two primary ways in which the nonemployee members of a start-up's new-venture team help the firm.
8. Describe the concept of signaling and explain why it's important.
9. Discuss the purpose of forming an advisory board.
10. Explain why new venture firms use consultants for help and advice.

New Venture Team

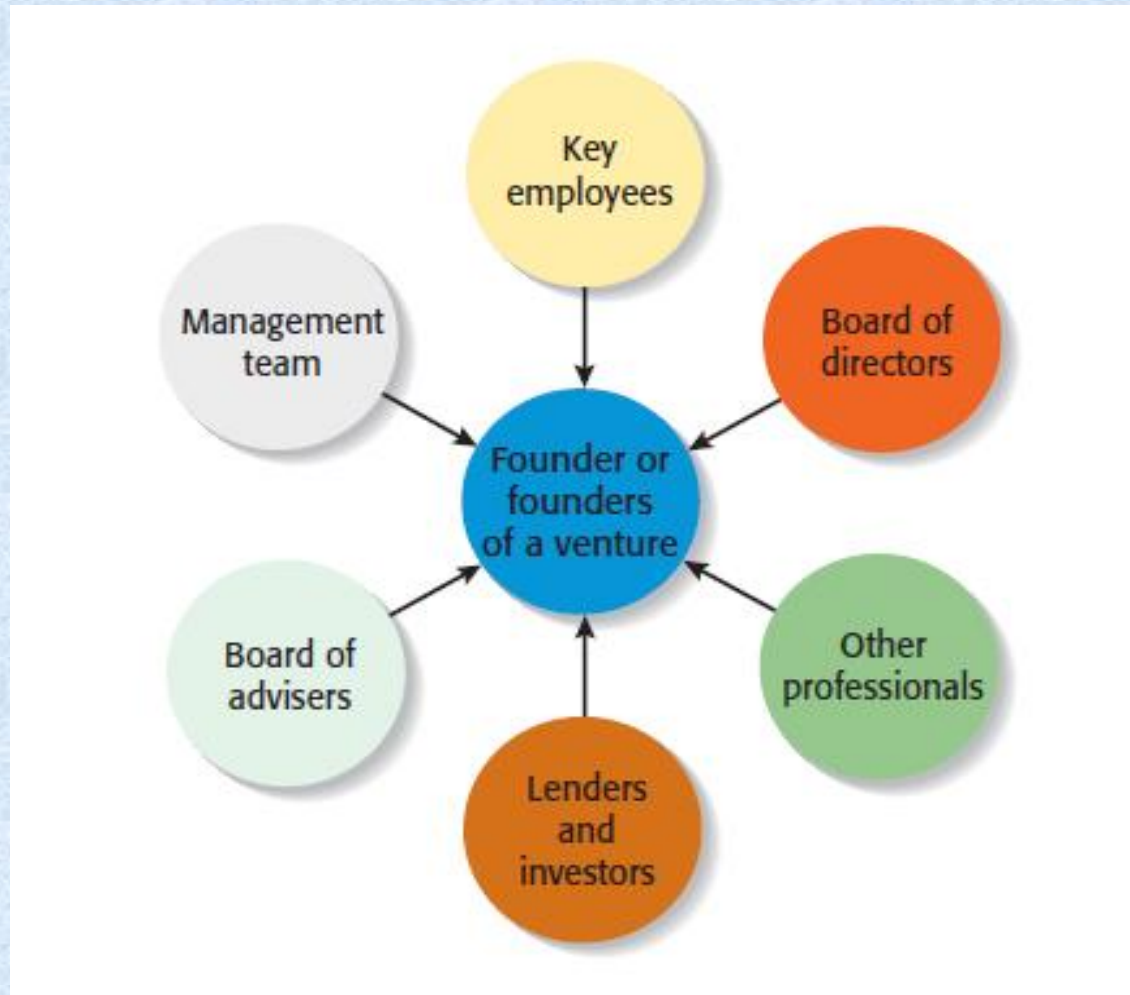
- New Venture Team
 - Is the group of founders, key employees, and advisers that move a new venture from an idea to a fully functioning firm.
 - Usually, the team doesn't come together all at once. Instead, it is built as the new firm can afford to hire additional personnel.
 - The team also involves more than paid employees.
 - Many firms have boards of directors, boards of advisers, and professionals on whom they rely for direction and advice.

Liabilities of Newness

Liabilities of Newness

- New ventures have a high propensity to fail.
- The high failure rate is due in part to liabilities of newness, which refers to the fact that new companies often falter because the people involved can't adjust fast enough to their new roles and because the firm lacks a track record of success.
- Assembling a talented and experienced management team is one path that firms can take to overcome these limitations.

Separate Elements of a New Venture Team



The Founder or Founders

1 of 2

- Founder or Founders
 - The characteristics of the founder or founders of a firm and their early decisions have a significant impact on the manner in which the new venture team takes shape.
- Size of the Founding Team
 - Studies have shown that 50% to 70% of all new ventures are started by more than one individual.
 - It is believed that new ventures that are started by a team rather than a single individual have an advantage.

The Founder or Founders

2 of 2

Qualities of Founders

Factors That May Contribute to a Founders' Success

- Firm started by a team
- Higher education
- Prior entrepreneurial experience
- Relevant industry experience
- The ability to “network” effectively

Factors that Contribute to a Founder or Founders' Success

1 of 3

- Firm Started by a Team
 - Start-ups started by a team can provide greater resources, a broader diversity of viewpoints, and a broader array of other positive attributes than ventures started by individuals.
- Higher Education
 - Entrepreneurial skills are enhanced through higher education.

Factors that Contribute to a Founder or Founders' Success

2 of 3

- Prior Entrepreneurial Experience
 - Founders familiar with the entrepreneurial process are more likely to avoid costly mistakes than founders without similar experience.
- Relevant Industry Experience
 - Founders with relevant industry experience are more likely to have:
 - Better established professional networks.
 - More applicable marketing and management skills.

Factors that Contribute to a Founder or Founders' Success

3 of 3

- Broad Social and Professional Network
 - Founders with broad social and professional networks have potential access to additional know-how, capital, and customer referrals.



Recruiting and Selecting Key Employees

- Recruiting Key Employees
 - Startups vary in terms of how quickly they need to add personnel.
 - In some instances, the founders will work alone for a period of time. In other instances, employees are hired immediately.
 - A skills profile is a chart that depicts the most important skills that are needed and where skills gaps exist in a new firm.

Skills Profile for New Venture Fitness Drinks

	Executive Leadership	Store Operations	Supply Chain Management	Marketing and Sales	HR/Recruiting	Accounting and Finance	Community Relations	Information Systems	Franchise Operations
Jack Petty	X								
Peggy Wells		X				X			
Jill Petersen				X					
Cameron Ivey			X						
Gap 1					O				
Gap 2							O		
Gap 3									O

The Roles of the Board of the Directors

1 of 2

- Board of Directors
 - If a new venture organizes as a corporation, it is legally required to have a board of directors.
 - A board of directors is a panel of individuals who are elected by a corporation's shareholders to oversee the management of the firm.
 - A board is typically made up of both inside directors and outside directors.
 - An inside director is a person who is also an officer of the firm.
 - An outside director is someone who is not employed by the firm.

The Roles of the Board of the Directors

2 of 2

- Formal Responsibility of the Board
 - A board of directors has three formal responsibilities.
 - Appoint the officers of the firm.
 - Declare dividends.
 - Oversee the affairs of the corporation.
- Frequency of Meetings and Compensation
 - Most board of directors meet three to four times a year.
 - New ventures are more likely to pay their board members in company stock or ask them to service on a voluntary basis rather than pay a cash honorarium.

What a Board of Directors Can Do to Help a Start-Up Get Off to a Good Start

Function	Importance of Function
Provide Guidance	Although a board of directors has formal governance responsibilities, its most useful role is to provide guidance and support to the firm's managers.
Lend Legitimacy	Another function of a board of directors is to lend legitimacy to a firm. Well-known and respected board members bring instant credibility to a firm.

Rounding out the Team: The Role of Professional Advisors

Board of Advisors

Lenders and Investors

Other Professionals

Board of Advisors

1 of 2

- Board of Advisors
 - A board of advisors is a panel of experts who are asked by a firm's managers to provide counsel and advice on an ongoing basis.
 - Unlike a board of directors, an advisory board possesses no legal responsibility for the firm and gives nonbinding advice.
 - An advisory board can be established for general purposes or can be set up to address a specific issue or need.

Board of Advisors

2 of 3

- Board of Advisors (continued)
 - Many people are more willing to serve on a company's board of advisors than its board of directors because it requires less time and there is no potential legal liability involved.
 - Like the members of a board of directors, the members of a company's board of advisors provide guidance and lend credibility to the firm.

Board of Advisors

3 of 3

- Guidelines to Organizing a Board of Advisors
 - Advisors will become disillusioned if they don't play a meaningful role in the firm's development and growth.
 - A firm should look for board members who are compatible and complement one another in terms of experience and expertise.
 - When inviting people to serve on its board of advisors, a company should carefully spell out to the individuals involved the rules in terms of access to confidential information.

Lenders and Investors

- Lenders and Investors
 - Lenders and investors have a vested interest in the companies they finance, often causing them to become very involved in helping the firms they fund.
 - Like the other non-employee members of a firm's new venture team, lenders and investors help new firms by providing guidance and lending advice.
 - In addition, a firm's lenders and investors assume the natural role of providing financial oversight.

Ways Lenders and Investors Add Value to an Entrepreneurial Firm

1 of 2

Help identify and recruit key management personnel

Provide insight into the markets that the new venture plans to enter

Help the venture fine-tune its business model

Serve as a sounding board for new ideas

Provide introductions to additional sources of capital

Serve on the new venture's board of directors or board of advisors

Ways Lenders and Investors Add Value to an Entrepreneurial Firm

2 of 2

Recruit customers

Help to arrange business
partnerships

Serve on the board of
directors or board of advisors

Provide a sense of stability
and calm

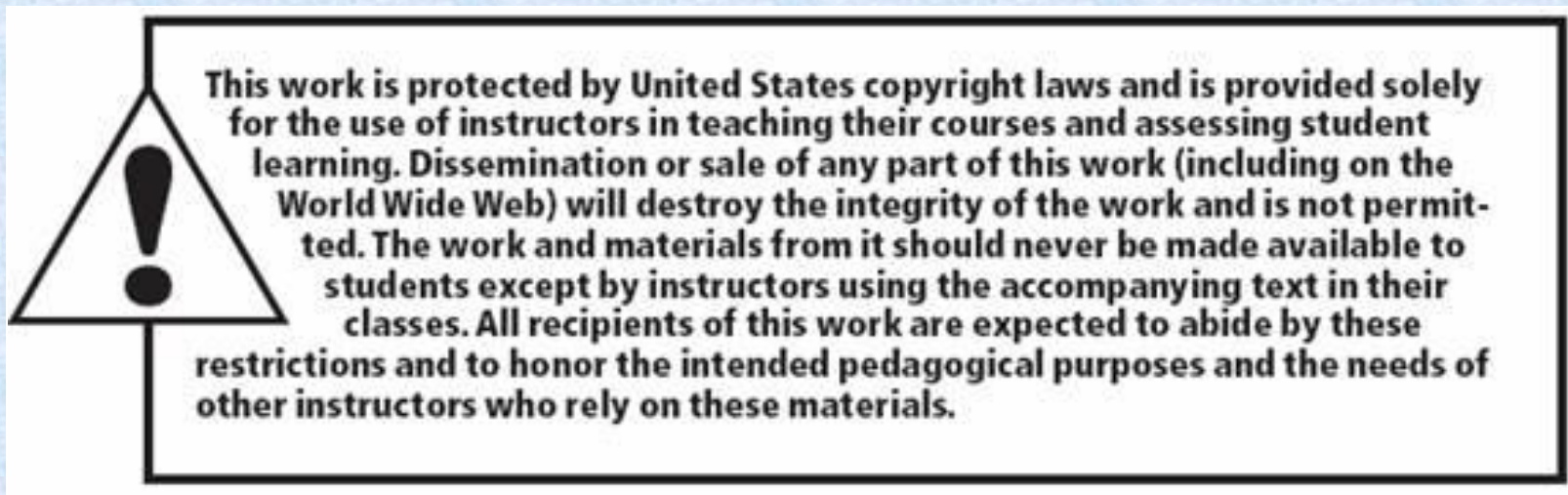
Other Professionals

- Other Professionals
 - The other professionals that make up a firm's new venture team include attorneys, accountants, and business consultants.
- Business Consultants
 - A business consultant is an individual who gives professional or expert advice.
 - Business consultants fall into two categories: paid consultants and consultants who are available for free or at a reduced rate through a nonprofit or governmental agency.

Volunteer Consultants



SCORE currently has
over 10,500
volunteer business
consultants working
with entrepreneurs.



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